

Chapter one Taxation- A Brief Introduction

1. Meaning of Taxation

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- a system of raising income by a government through tax

2. Meaning of Tax

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- a compulsory levy payable by an economic unit to a government without expectation of direct and equivalent return from the government for the compulsory levy
- income source to a government

3. Characteristics of Modern Tax

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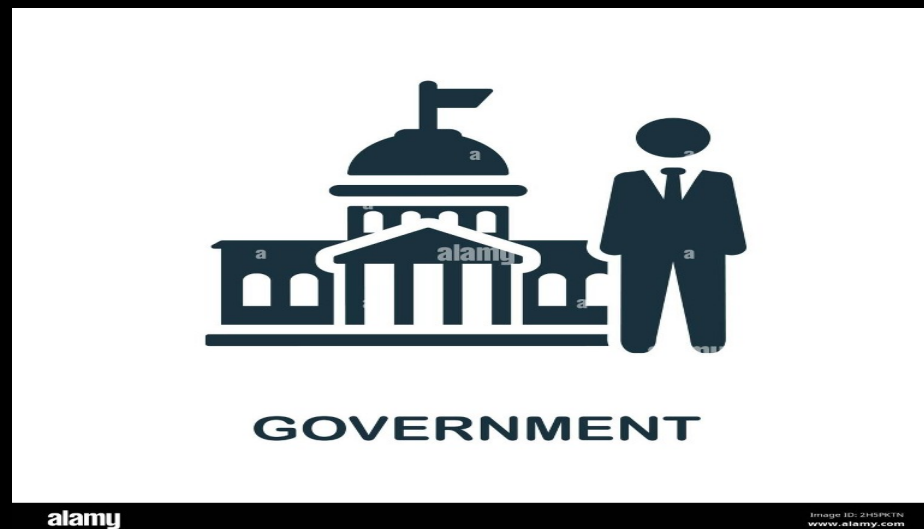
a) a compulsory imposition



Characteristics of Modern Tax

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- Levied by only government



Characteristics of Modern Tax

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□ Unconditional



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Characteristics of Modern Tax

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- Lawful collection/not arbitrary



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Characteristics of Modern Tax

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- imposes personal obligation



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Characteristics of Modern Tax

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□ Involves an element of sacrifice



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Characteristics of Modern Tax

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□ Based on taxable object



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Characteristics of Modern Tax

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□ Does not discriminate



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4. Objectives of Taxation

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1) To raise income by a government to finance the expenditures of its activities



Objectives of Taxation

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- To minimize income and wealth inequalities

(e.g the 1% against 99% in USA)

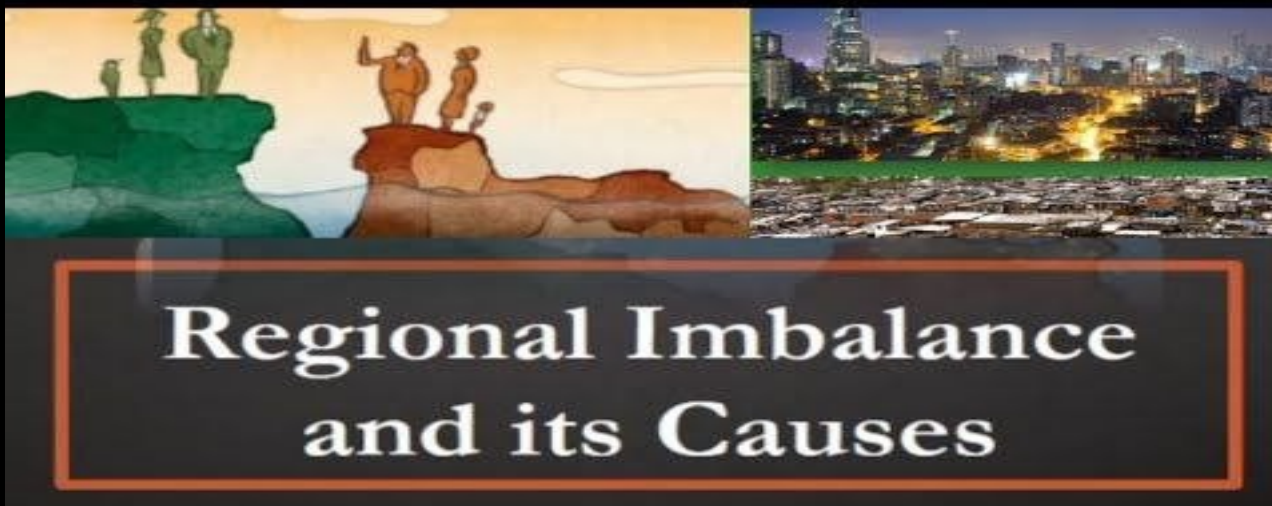


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Objectives of Taxation

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□ To reduce regional imbalance



Objectives of Taxation.....

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□ To ensure economic stability



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Objectives of Taxation

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- To discourage the consumption of harmful products



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Objectives of Taxation

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□ Environmental protection

(i.e. Carbon trading and environmental Taxation)



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5. Principles of Taxation

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(1) Equity/Fairness Principle

- a tax system should be fair in distributing the tax burden among various taxpayers

a) *Horizontal Equity*

- taxpayers with equal ability to pay tax should pay the same amount in tax

b) *Vertical Equity*

- taxpayers with greater ability to pay should pay more amount in tax

(2) Neutrality Principle

- a tax system should be free from bias/neutral

5. Principles of Taxation...

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(3) Efficiency Principle

- a tax system should be efficient in its administrative and compliance costs

(4) Certainty Principle

- a tax system should not be arbitrary but certain for both the taxpayers and the government

6. Canons of Taxation

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1) Canon of Simplicity

- a tax system should be simple and clear to understand by taxpayers and tax administrators

2) Canon of Productivity

- a tax system should be able to yield enough revenue to the government and should not discourage productivity and investment

6. Canons of Taxation ...

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3) Canon of Elasticity

- a tax system should be flexible enough to increase or decrease the tax revenue depending upon the need

4) Canon of Diversity

- a tax system should be diverse in nature rather than depending only on few taxes

6. Canons of Taxation ...

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5) Canon of Transparency and Visibility

- a tax system should be transparent and visible to the taxpayers/citizens

6) Canon of Minimum Tax Gap

- a tax system should be structured to minimize tax-gap

6. Canons of Taxation ...

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7) Canon of Coordination

- if taxes are levied by both the federal and state governments, there should be proper co-ordination between various authorities in imposing different taxes

Principles Vs. Canons

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Principles

- Rule of the concept taxation
- Universal concept

Canons

- Indicates the quality of tax system
- It is more of administrative concept

Significance

- Canons
- Not Principles

7. Approaches to Taxation

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1) The Cost of Service Approach

- states that taxpayers should be taxed based on the costs incurred by the government to provide services to the society
- can not be accepted as the basis of taxation

7. Approaches to Taxation ...

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2) The Benefit Received Approach

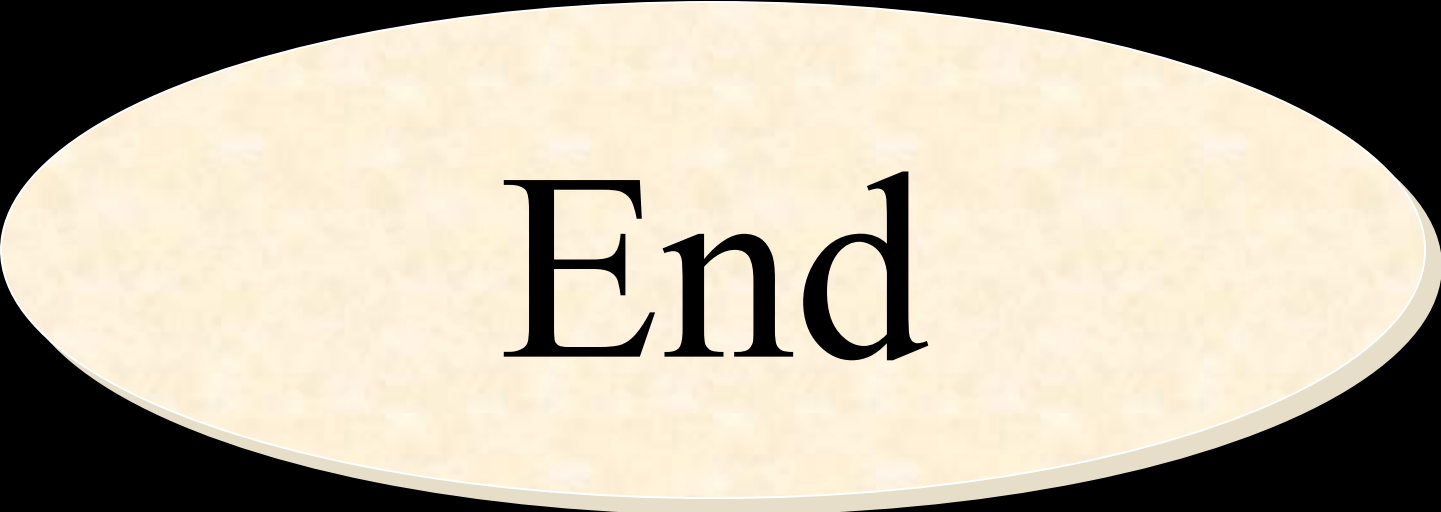
- states that each individual should be taxed based on the amount of *benefit* received from the government
- is not based on the concept of equity in taxation

7. Approaches to Taxation ...

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3) The Ability-to-Pay Approach

- states that individuals should be taxed based on their ability to pay
- is generally the most accepted theory



End